Introduction to the balance sheet & double entry accounting

Stage 2 Accounting



Monetary Unit Concept

Accountants gathers financial information to produce different reports for their clients. These reports are expressed in monetary values.

This means that ***accountants only consider items that can be expressed in monetary terms***. This is known as the *monetary unit concept.*

ie. Australian dollars ($) are used in Australia, where as Japanese Yens (¥) are used in Japan.



Benefits of Monetary Unit Concept

1. Money is a means of exchange
2. Money is convenient for adding items together and summarising transactions (quantitative information)
3. Easy to make comparisons
4. Enables evaluation of opportunity cost
5. Provides an objective evaluation of business performance



Limitations of Monetary Unit Concept

1. Some transactions are difficult to measure in monetary terms eg. cost of quality employees
2. Value of money change over time eg. inflation means value of money falls
3. Changes in currency rates regularly, making it difficult to measure value.
4. Some estimated items are not accurate eg. depreciation of non current assets compared to market value.

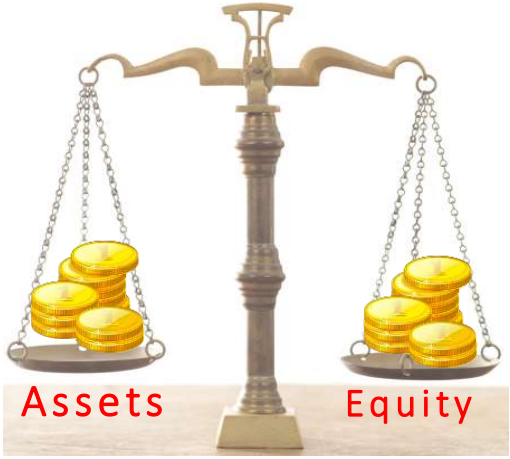


Accounting equation

The fundamental principle of accounting introduces the relationship that exists between the owner of a business and the business itself- that of assets and equities. The fundamental equation is:

A = E

Assets = Equity



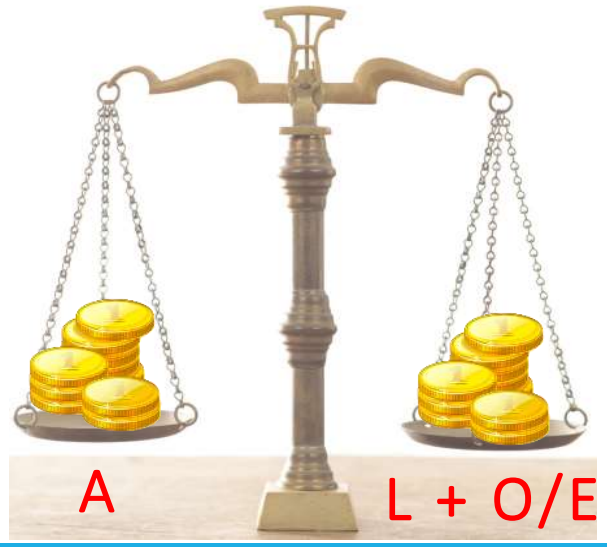
Assets are items of value that belong to a business eg. cash, premises, trucks, stock etc..

Equities are amounts that the business owes to the owner(s) and other people eg. capital, mortgage, loan, creditors etc..

Accounting equation

Equities are the claims on the assets of the business. These claims fall into two distinct categories:

1. External claims: the amount borrowed from other people, known as ***liabilities*** (eg. Loan from bank)
2. Internal claims: the amount that the owner(s) invest in the business, known as ***owner's equity*** *(ie. The business borrows from the owner)*



Therefore, the accounting equation can be expressed as:

Assets = Liability + Owner's Equity

A = L + O/E

Accounting equation

The accounting equation may be manipulated as:

	A	**=**	**L**	**+**	**O/E**
Or	**L**	**=**	**A**	**-**	**O/E**
	O/E	**=**	**A**	**-**	**L**

The accounting equation forms the basis of a balance sheet



Historical Cost Concept

As well as recording in monetary form, accountants also record the value of assets in their original price (when they are purchased). This is known as the historical cost concept.

Note: Historical cost also includes any cost associated with the purchase of the asset. Example: a business bought a vehicle for $22 000 and paid $400 for a sign be fixed to the vehicle and another $650 to modify the vehicle. It also paid $680 for registration and $700 for a yearly insurance.

What is the historical cost of the vehicle?

Historical cost = $22 000 +$400 + $650
= $23 050

Insurance and registration costs are not included as these are on going expenses that the business has to pay.

Accounting equation

Example: Oliver Beer begins a business by investing $7,000 of his own money. The accounting equation would be:

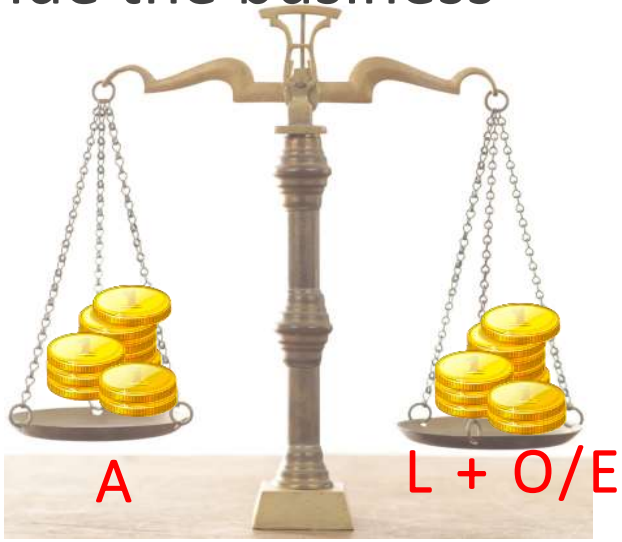
Assets = Equity

Cash $7,000 = Owner's investment $7,000

If Oliver Beer then borrowed $5,000 from the bank to provide the business with additional cash, the accounting equation would be:

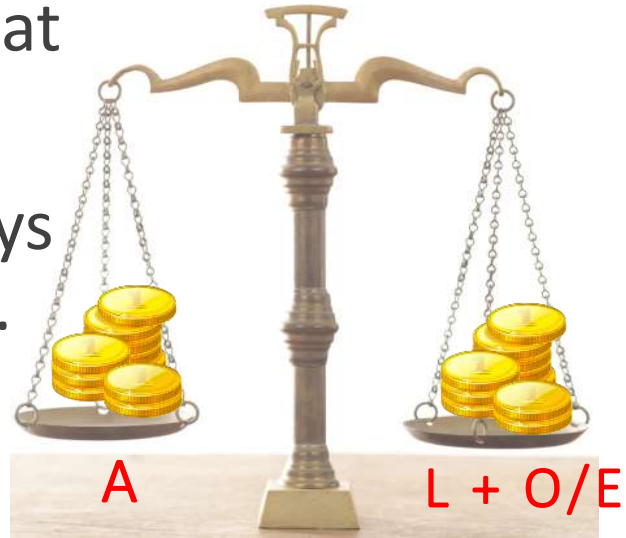
Assets = Liabilities + Owner's Equity

Cash $12,000 = Loan $5,000 +Owner's investment $7,000



Balance Sheet

- The assets of a business and the claims on these assets may be expressed in the form of a ***Balance Sheet***. The balance sheet is a general financial report. It consists of a list of the assets owned by a business and a list of people who have a claim on those assets at a given date.
- A balance sheet is an important report that an accountant draws up for the owner or manager of a business.
- A balance sheet uses the 'Duality Concept' which states that total assets always equals total equities (A= L +O/E).
- This means that for every transaction, the total debit always equals the total credit and at least 2 accounts are affected.



Further classification

- Assets and liabilities are further classified into ***current*** and ***non current***.
- ***Current assets*** are assets that can be liquidated (converted into cash) ***within 12 months***. Examples: debtors, inventory, bank.
- ***Non current assets*** are assets that take longer than 12 months to be converted to cash. Examples: vehicles, furniture, plant and equipment, investments, goodwill.
- ***Current liabilities*** are debts that must be repaid in less than 12 months. Examples: bank overdraft, creditors.
- ***Non current (deferred) liabilities*** are debts that take longer than 12 months to repay. Examples: Mortgage and other long term loans.

Layout of a balance sheet (T format)

Lee Cage Plumbing Supplies

Balance Sheet as 30 June 2012

	$	$		$	$
Current Assets			***ties***		
Cash at bank	6500			12000	
Cash on hand	1200		31/1/13)	8500	20500
Debtors	4000				
Inventory	7600	19300	***Non-current liabilities***		
			Mortgage on premises		40000
Non-Current Assets					
Delivery vehicle	22000				
Fixtures and fittings	7800				
Office equipment	4000				
Premises	56000				
Furniture	6000			58750	
Investment- Telstra shares	3500	99300	ess Drawings	(650)	58100
Total Assets		**118600**	**Total Equities**		**118600**

A single line means the sum of and total is written in the next column on the right.

A double line means the final total. They must be aligned.

Layout of a balance sheet (Narrative format)

		$	$
Owner's equity			
	Capital- Lee Cage	58750	
	less Drawings	(650)	**58100**
Represented by:			
Current Assets			
	Cash at bank		
	Cash on hand		
	Debtors		
	Inventory	7600	19300
Non-Current Assets			
	Delivery vehicle	22000	
	Fixtures and fittings	7800	
	Office equipment	4000	
	Premises	56000	
	Furniture	6000	
	Investment- Telstra shares	3500	99300
less	***Current liabilities***		
	Creditors	12000	
	Loan (due: 31/1/13)	8500	20500
Non-current liabilities			
	Mortgage on premises		40000
Net Assets			**58100**

Based on the formula: O/E= A-L

Must add this phrase

Total balanced amount should be: Net equity = net asset.